

Procure Space ETF

SPCX NASDAQ

Buy	\$143.16 ▼ 0.37%	12M Price Target \$175.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.89T
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SPCX: Space ETF Consolidates as SpaceX IPO Debate Heats Up

WHAT HAPPENED

- SPCX is basically flat today (-0.37%) but the real story is underneath — SpaceX (the ETF's crown jewel) is dominating headlines with an IPO valuation debate reigniting and news that its DoD relationship is deepening with AI integration. Translation: the market is trying to figure out what SpaceX is worth as a public company, and SPCX is one of the few ways retail can pre-position.
- Howmet (an aerospace supplier) got knocked down on "SpaceX fears" but Citi says buy the dip — that's a tell. When aerospace suppliers wobble on SpaceX concerns, it usually means people are worried about SpaceX pulling work in-house, which would actually be BULLISH for SPCX holdings.

WHY IT MATTERS

The setup here is unusually clean: SpaceX is inching toward an IPO (Simply Wall St. literally ran a valuation piece today), and SPCX is one of the cleanest liquid vehicles to front-run that event. The deepening DoD relationship matters a lot — it means space is being treated as national security infrastructure, not a discretionary line item, which insulates the sector from budget cuts. Options flow is interesting: put/call ratio of 0.60 says traders are leaning bullish overall, but the unusual \$145 puts suggest someone is hedging near-term downside — probably institutions who are long and want protection through September. Bottom line: this is a "hold through the IPO catalyst" name, not a trade.

POLICY & POLITICAL WATCH

The big political tailwind is the Golden Dome / space-based defense push — the Trump administration has made space dominance vs. China a stated priority, and the FY2026 defense budget expanded Space Force allocations meaningfully. Watch two things: (1) the NDAA reconciliation this fall, where space procurement dollars either get locked in or trimmed, and (2) FAA launch licensing reform, which has been a bottleneck for SpaceX and Rocket Lab — any easing is a direct volume boost. Musk is at the G20 talking "crisis of power" (energy/AI), which keeps him politically visible and reinforces that space + AI + defense are converging into one policy bucket that SPCX rides.

IS IT EXPENSIVE?

SPCX is an ETF so traditional P/E doesn't apply — you're really paying for the underlying basket, and right now it's trading at 32% of its 52-week range (\$104-\$225), which means it's closer to the lows than the highs. In plain English: the sector had a big run and cooled off, and you're buying the pullback. If SpaceX IPOs at the \$400B+ valuations being floated, the ETF's private holdings get marked up materially — that's the asymmetric upside baked into today's price.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

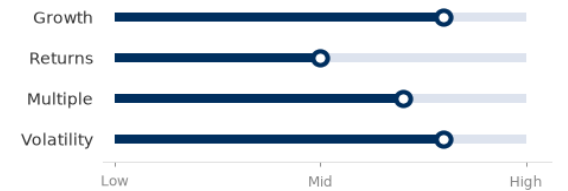
AI-Generated Pre-Market Brief | 2026-09-01 16:51 UTC

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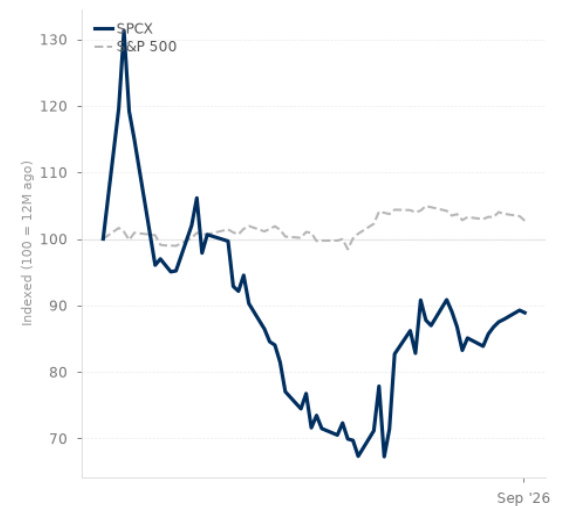
Key Data

Price (USD)	\$143.16
12M Price Target	\$175.00
Upside / (Downside)	+22.2%
Market Cap	\$1.89T
FY2026E Revenue	\$0K
FY2027E Revenue	\$0K
FY2026E EPS	\$0.00
FY2027E EPS	\$0.00
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$155.00	\$145.00	\$132.00
6 Months	\$180.00	\$160.00	\$125.00
1 Year	\$210.00	\$175.00	\$120.00
2 Years	\$260.00	\$200.00	\$110.00
5 Years	\$400.00	\$280.00	\$130.00
10 Years	\$650.00	\$425.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+3.74% 5D) is leading — that's a "hard assets and real economy" trade, and space/defense fits the same narrative. Defense and aerospace are quietly benefiting from the administration's hawkish posture on China.

COOLING OFF: Real Estate (-2.69%), Healthcare (-2.36%), Staples (-2.24%) — classic defensive rotation OUT, which means risk appetite is actually decent even though headline indexes are choppy.

ROTATION WATCH: Money is moving from defensives into hard-asset cyclicals (energy, materials, defense). Space sits at the intersection of defense + tech, so it should catch a bid if this rotation continues.

RELATED PLAY: If SPCX runs, the picks-and-shovels names benefit too — think Howmet (aerospace parts, currently on Citi's buy list), Iridium (satellite comms), and specialty materials suppliers to launch vehicles.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Small-launch leader benefiting from every DoD dollar SpaceX can't absorb — direct SPCX holding.
- IRDM (Iridium): Satellite comms with sticky government contracts, less headline risk than launch names.

SPCX CONTEXT: SPCX is lagging its individual top holdings, which is normal for a diversified ETF — but it also means less downside if any one name blows up. If you want the SpaceX IPO exposure without single-stock risk, SPCX is the cleanest expression.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — cautiously bullish; the SpaceX IPO catalyst is real but timing is uncertain.

POSITION SIZE: 3-5% — enough to matter if the IPO hits, small enough to survive a launch-failure drawdown.

ENTRY POINTS: I'd scale in around \$138-142; add aggressively if we get a broader market pullback that drags this to \$130.

TIME HORIZON: 12-24 months — you're waiting on the SpaceX IPO and continued DoD contract wins.

WHEN TO BAIL: If SpaceX publicly delays IPO to 2028+, or if a major DoD space contract gets pulled from a top-5 holding, trim. Also bail if it breaks below the 52-week low of \$104.

HEDGING: Easiest hedge is just keeping position size modest. If you want to get fancier, buy a small put on a pure-play space name that's more expensive than SPCX — if the sector cracks, that put pays off harder than SPCX falls.